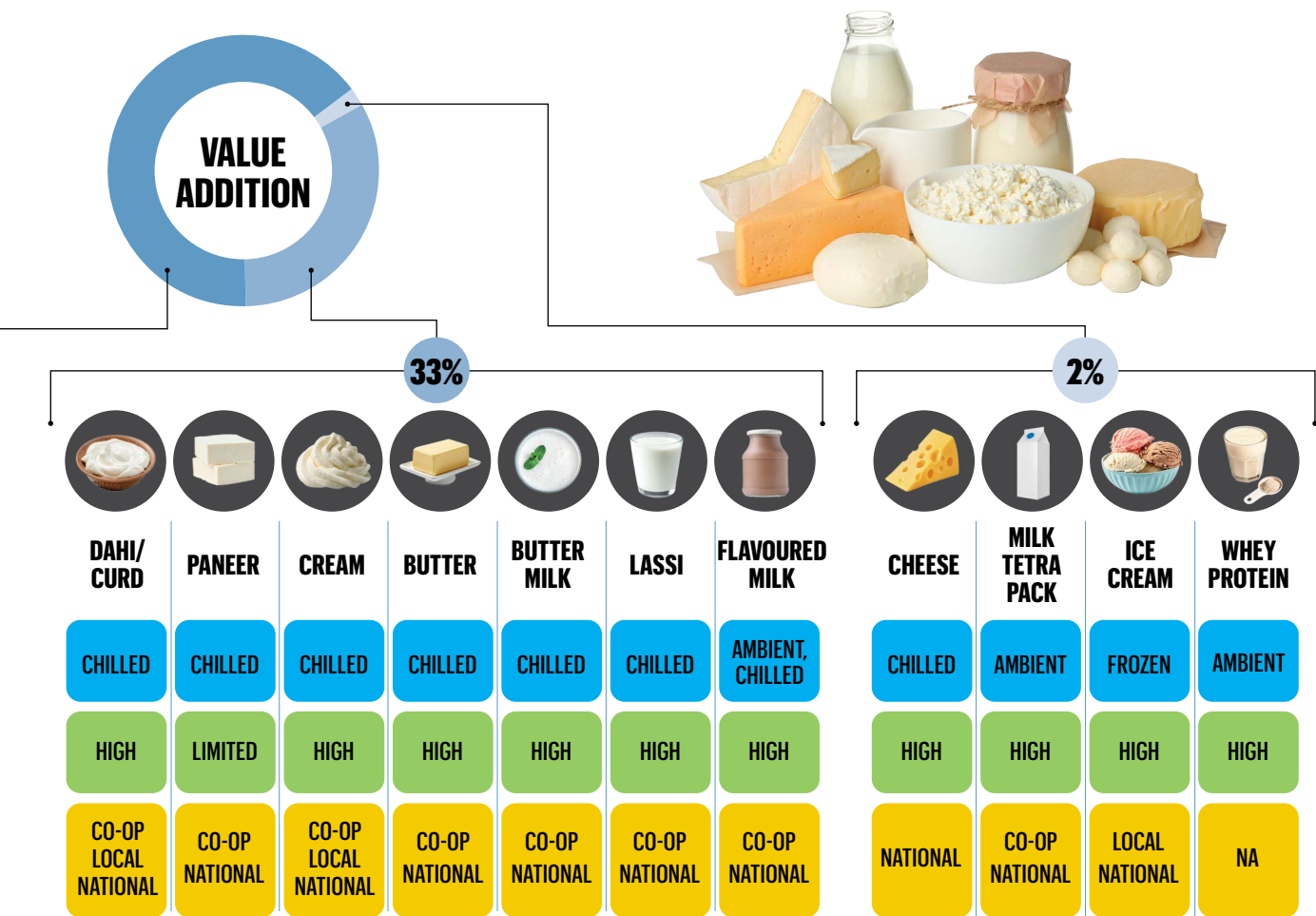




fermentation difficult. Additionally, the presence of cooperatives reduces pricing power. Value addition involves more processing, giving companies more pricing power.

BREAKING DOWN MILK

While companies increasingly focus on higher-value products, the industry itself has a broader definition of value addition.

Jayen Mehta, MD, Gujarat Cooperative Milk Marketing Federation (GCMMF), which owns the Amul brand name, thinks there is a misconception that there is no value addition in pouched milk or curd. "In fact, it starts there and then moves to butter, ghee, and so on," he says. Mehta refers to the work done by Amul in yoghurt or the success with lactose-free milk. "These have worked out very well, and now, there is a big focus on protein."

That is a big market, especially post-pandemic, but let's get to that in a bit.

R. G. Chandramogan, Chairman, Hatsun Agro Product, has a simple definition for a value-added dairy product—it must be sold directly to consumers, and that is the way to make it profitable. His company, headquartered in Chennai, is the largest private sector dairy player (FY26 revenue was ₹9,973 crore) with 4,000 outlets. "You must be dominant in a market. We have 23 factories across six states. It helps in reducing costs and reaching the consumer," he says. There are no wholesalers. Nor are Hatsun's value-added products sold to the hotels, restaurants and catering network. "The challenge there lies in deeper discounts and longer credit. It makes direct selling a much better proposition," he says.

The approach is, in many ways, contrarian, but one